

SOP to Operate the Plant – 2026

List of raw material to be used in plant operation in which we will be operating 5 tanks per 10 days interval to produce 600 bags in one month.

Raw Material

Raw Material	Rupees/kg	Weight per Tank
Cow dung	1	2,000
Jaggery	18	5
Microbial consortium	4,000	1
Rock phosphate	5	200
Gram flour	60	5
Fly ash	1	150
Chicken Litter	1	200

☐ Raw Material Procurement:

- A fixed quantity of raw material must be procured every month to manufacture the fertilizer required for plant operation.

☐ Cost Range:

- We have already added a cost range at which the raw material can be sourced from the market.

☐ Vendor Support:

- Our team will be arranging and sharing a list of vendors for Rock phosphate and green sand for raw material within 1 week.
- It is highly appreciated if you can also identify local vendors at your end for ease of supply and reduced logistics cost.

☐ Operational Alignment:

- Timely procurement of raw materials will ensure uninterrupted production throughout the year.
- Having both our vendor list and your identified local sources will provide dual assurance of supply.

Raw material used per month / Cost/month

Raw Material	Quantity	Cost/Month (₹)
Cow dung	3,000	30,000
Jaggery	75	1,350

Microbial consortium	15	60,000
Chicken Litter	3,000	3,000
Fly Ash	2,250	2,250
Rock phosphate	3,000	15,000
Gram flour	75	4,500
Total		1,16,100

□ Labour Requirement:

- 2 labourers are required to operate the plant.
- They can be hired either on a monthly basis or on a daily wage basis.

□ Bags for Packaging:

- Every month, 600 printed bags are required.
- Maximum cost per bag: ₹20.
- Total monthly bag cost (approximate): ₹12,000 ($600 \times ₹20$).

Working Cost

Operations Cost per Month	Rs/Month
Work charges 2 worker	20,000
Plant Maintenance	3,000
Electricity	2,000
Packaging (20rs per bag)	12,000
Total	37,000

□ Sales Representative:

- 1 sales representative needs to be hired at cost of 8000 Rs/Month.
- Our team will assist you in the hiring and management process.

Targeting 2000 packet (100k kg)/month

Charges/Month

Marketing and advertisement	8,000
Additional cost	2,000
Total	10,000

MRP and selling price of bags from each location will be roughly mentioned in the table

Margin	Rs for 50kg
MRP	850
Selling Price	450

Final Cost Structure

Monthly expenditure per month

Particulars	Amount (₹)
Raw material cost per month	1,16,100
Working cost per month	37,000
Other cost per month	10,000

Outcome of the plant

Particulars	Value
Total bags	600
Bags weight (kg)	50
Total production/month	30,000

Particulars	Amount (₹)
Total operation cost	1,63,100
Total revenue	2,70,000
Total profit	1,06,900

☐ Revenue Share Waiver:

- LCB Fertilizers will not be taking its revenue share from October to December 2026.
- This step is aimed at promoting sales and ensuring higher profitability of the production units during this period.

☐ Support with FPOs & Farmer Groups:

- LCB Fertilizers will provide a list of active Farmer Producer Organizations (FPOs) and Farmer Groups from your location.
- These groups are engaged in the agriculture sector and will be potential customers and partners for fertilizer sales.

☐ Training & Capacity Building:

- Proper training will be provided to the sales representative to ensure effective communication and market reach.

- Training will cover product knowledge, sales techniques, and farmer engagement practices.

□ Objective:

- To strengthen the local sales network.
- To ensure smooth operations and sustainable growth for the production units during 2026 and beyond.